

**BEFORE THE
FEDERAL MARITIME COMMISSION**

LOGFRET, INC.,

Complainant,

v.

KIRSHA, B.V., Leendert Johannes Bergwerff a/k/a Hans Bergwerff,
Linda Sieval,

Respondents.

Docket No. 18-10

**RESPONDENTS' REPLY TO COMPLAINANT'S OPPOSITION RESPONSE TO
RESPONDENTS' MOTION TO DISMISS**

A. INTRODUCTION. Respondents respectfully submit this Reply to Complainant's memorandum in Opposition to the Motion to Dismiss served by Respondents Kirsha B.V., Hans Bergwerff, and Linda Sieval (collectively, "Respondents") to issue an order dismissing the amended Verified Complaint with prejudice as to all Respondents. Respondents hereby renew all previous arguments raised in such Motion to Dismiss and Opposition to Motion to Amend. Complainant's Memorandum in Opposition to Motion to Dismiss was submitted May 8, 2019, and per the Administrative Law Judge's Order dated April 24, 2019 Respondents hereby submit this Reply due by May 22, 2019.

B. ARGUMENT IN REPLY TO COMPLAINANT'S OPPOSITION TO MOTION TO DISMISS

I. COMPLAINANT'S ASSERTION THAT RESPONDENTS ARE SUBJECT TO THE JURISDICTION OF THE SHIPPING ACT IN VIOLATION OF 46 U.S.C. § 41103(a) AS "OTHER PERSONS" ACTING IN CONJUNCTION WITH A COMMON CARRIER IS NOT SUPPORTED BY APPLICABLE LAW

Complainant has again altered its theory of the case by stating its case in a manner it has

not pled in either of its prior two futile attempts to plead either personal or subject matter jurisdiction over Respondents. Complainant, this third time around, has now virtually admitted that Kirsha B.V., Mr. Bergwerff, and Ms. Sieval were acting as “other persons” in conjunction with Delmar International (N.Y.) Inc. (“Delmar USA”), a common carrier licensed by the Federal Maritime Commission (“FMC”), a non-party to this proceeding. This, states the Complainant, brings Respondents within the provisions of 46 U.S.C. § 41103(a) as “other persons”, language contained in that regulatory provision. Complainant now also claims in its *Opposition* memorandum that Kirsha B.V. would, in any case, be subject to the Act in that it “acted” or “held out” as a common carrier. However, Complainant also has now conceded that, unlike Kirsah B.V., Mr. Bergwerff and Ms. Sieval, Complainants “are not common carriers.” Nonetheless, Complainant concludes that individual respondents Hans Bergwerff and Linda Sieval, are still subject to 46 U.S.C. § 41103(a) in that they acted in conjunction with Delmar USA as “other persons.” We take that to mean that Complainant admits that these individuals are not common carriers, and did not “hold out” or “acted” as common carriers, and allegedly are nevertheless subject to 46 U.S.C. § 41103(a) in that as individuals they acted in conjunction with Delmar USA as “other persons.”

Complainant, in pertinent parts, has clearly taken the above noted positions in the following statements in their *Opposition*;

As discussed supra, it is clear that Delmar USA is, in fact, an NVOCC and, by extension, a “common carrier” under the Shipping Act. 46 U.S.C. § 40102(6). Moreover, Complainant’s allegations recognize **that Delmar USA participated in the violation of 46 U.S.C. § 41103(a) “in conjunction with...other person[s]...indirectly.”** **These other persons were Respondents, Kirsha B.V., Mr. Bergwerff, and Ms. Sieval,** who are named parties in this proceeding. The Commission’s jurisdiction extends to such persons—a position supported by a plain reading of 46 U.S.C. § 41103(a). . . . **As noted, Kirsha B.V. is a common carrier. The fact that the other two Respondents are not common carriers** is not a magic talisman that absolves them of responsibility—or liability—for the damages that resulted from their

actions. (*Complainant's Opposition*, pp. 7, 8, and 9. (Emphasis supplied).

Complainant, clearly further states the following in error, and without any legal support, and contrary to well established legal principles, with regard as to whom 46 U.S.C. § 41103(a) applies:

Despite—or perhaps because of—the FMC's nature as an agency of limited jurisdiction, the modifying phrases in § 41103(a), like “either alone or in conjunction with any other person” and “directly or indirectly” are particularly noteworthy, in that they evince a clear legislative intent that § 41103(a) be read broadly in scope and enforced in the same light. Certainly Congress intended for the Act to prohibit certain shipping practices among common carriers, maritime terminal operators, and ocean freight forwarders, but for purposes of this provision **Congress also intended that prohibition to cover a broader spectrum of unlicensed persons who were involved in shipping practices in the U.S. trades.** (Emphasis supplied).

We understand the above to mean that Complainant defines the intent of Congress to include in the phrase “in conjunction with any other person” that an “other person” who was not one of the regulated entities mentioned in § 41103(a) ---i.e., common carriers, ocean freight forwarders, and marine terminal operators---could be subject to the prohibitions of this section. We also understand Complainant to mean by “an unlicensed” person that § 41103(a) would reach any person, whether regulated or not, so long as that person directly or indirectly acted in conjunction with a regulated person (common carrier, ocean freight forwarder and/or marine terminal operator) to violate this provision. We also take Complainant to mean that if a person were to “hold out” or “act” as a common carrier that they would still be subject to this section as common carriers, whether or not licensed or registered with the FMC, as Complainant now asserts is the status for Kirsha B.V. In view of this, we also interpret Complainant's view that since Complainant now asserts that Hans Bergwerff and Linda Sieval are not common carriers that, therefore, Complainant is also now concluding that they did not “hold out” or “act” as common carriers. Complainants' most recent

allegations are that Hans Bergwerff and Linda Sieval allegedly are subject to § 41103(a), notwithstanding that they are unregulated individuals, if they acted in conjunction with Delmar USA as “other persons.” We disagree that this is the applicable legal principle which applies to these respondents pursuant to § 41103(a). Prior FMC holdings with respect to that statutory provision have clearly held that its provisions apply exclusively to “common carriers, ocean freight forwarders, and/or marine terminal operators.”

We will address the issue now raised by Complainants that the “other persons” provision of the statute does not require that Respondents be acting or holding out as either common carriers, ocean freight forwarders, and/or marine terminal operators to be subject to 46 U.S.C. § 41103(a). The conclusion taken by Complainant that Hans Bergwerff and Linda Sieval are not common carriers will readily allow these individuals to be dismissed from this proceeding on the basis that the removal of paragraphs 19 and 20 (pleading that these individuals are common carriers) from the Verified Amended Complaint from this case removes any meaningful pleadings as to subject matter and personal jurisdiction over these respondents.

Respondents will address below the newly created novel issue by Complainant that respondents for purposes of 46 U.S.C. § 41103(a) are not required to be acting or holding out as “common carriers, ocean freight forwarders, and/or marine terminal operators”, and that this section brings non-regulated persons (Hans Bergwerff and Linda Sieval) under the jurisdiction of the provision by the language in that section, “in conjunction with...other person[s]”

Respondents hereby assert that for a violation of 46 U.S.C. § 41103(a) it is a *sine qua non* that Respondents must have acted or held out as a common carrier, ocean freight forwarder or marine terminal operator when **they** “disclose[d], offer[ed], solicit[ed], or receive[d] any information concerning the nature, kind, quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier, without the consent of the shipper or consignee.” See

DNB Exports LLC v. Barsan Global Lojistik Ve Gumruk Musavirligi A.S., Initial Decision FMC Docket No. 11-07 at 3-4 (Jan. 24, 2014) wherein the Commission clearly held the following with respect to the same statutory provision:

Because neither BGL nor Impexia is a common carrier, marine terminal operator, or ocean freight forwarder . . . **the Commission does not have jurisdiction over them.** Therefore, the claims against BGL and Impexia are dismissed with prejudice for lack of personal jurisdiction.”) (Emphasis supplied).

This is directly applicable to respondents Hans Bergwerff and Linda Sieval since Complainant has now removed any averment that they were acting as common carriers, and have, in effect, nullified paragraphs 19 and 20 from the Verified Amended Complaint. Complainant’s position as noted above is in direct conflict with the current Commission’s position as noted above and further noted below on the interpretation of 46 U.S.C. § 41103(a) (the successor codification of 46 USC § 10(b)(13)) as again unequivocally stated at *DNB Exports LLC v. Barsan Global Lojistik Ve Gumruk Musavirligi A.S.*, Initial Decision FMC Docket No. 11-07 at 41 (Jan. 24, 2014) :

Section 10(b) (13) is written to govern the activities of entities regulated by the Commission: Common carriers, marine terminal operators, and ocean freight forwarders. Congress recognized that it is likely these regulated entities would receive information from shippers that the shippers would not want the entity to share. Section 10(b)(13) prohibits common carriers, marine terminal operators, and ocean freight forwarders from disclosing, offering, soliciting, or receiving the information in certain circumstances. The Act governs activities of an entity operating as a common carrier or ocean freight forwarder as defined by the Act whether or not the entity is licensed by the Commission. **Section 10(b)(13) does not govern the activities of entities not operating as common carriers, marine terminal operators, or ocean freight forwarders.** (Emphasis supplied).

It is important to note that the above holding was derived by the Administrative Law Judge, and accepted by the Commission as final, after a thorough review of other cases, including *Landstar Exp. America, Inc. v. Federal Maritime Comm 'n*, 569 F.3d 493, 498-499 (D.C. Cir. 2009), wherein the court concluded that "the agency cannot rewrite a statute just to serve a

perceived statutory spirit", which is what Complainant is asking the Commission to do.

Clearly, respondents Hans Berwerff and Linda Sieval must be dismissed since there are no further averments that they acted as common carriers by admissions from Complainant itself, and clearly § 41103(a) does not reach these respondents, nor is there personal jurisdiction over them.

II. Naked Conclusory Allegations that Respondent Kirsha B.V Acted as a Common Carrier Does Not Support Any Pleadings by Which it is Plausible to Conclude that the Federal Maritime Commission has Either Subject Matter Or Personal Jurisdiction over This Respondent Contrary to *Twombly* and *Iqbal*.

While Complainant has dropped its claims that Hans Bergwerff and Linda Sieval acted as common carriers, it has been argued in Complainant's Opposition, pp. 7, and 8 that Kirsha B.V., does, in fact, hold out and acts as a common carrier. Respondents disagree with this surprising allegation against Kirsha B.V., especially in view of complainant's change of position *vis a vis* Hans Bergwerff and Linda Sieval. Respondents' disagreement is based on the fact that these averments have not been plausibly pled pursuant to *Twombly* and *Iqbal* standards, and will be discussed herein in detail and will be demonstrated to be a red herring or a fishing expedition at best. Allegations that Kirsha B.V. acted as a common carrier are merely a listing by Complainant of what the Complainant alleges FMC considers indicia of common carrier activities, but Complainant offers no substantive averments of how, when and where Kirsha B.V. acted as a common carrier---i.e., Complainant does not connect these listed activities to Kirsha B.V. in a meaningful plausible manner. In fact, as will be reviewed below, Kirsha B.V., in the original pleadings and even in the Verified Amended Complaint, Kirsha B.V.'s activities were described in broad conclusory terms, or in the inane terms noted below.

Note the following pertinent pleading references to Kirsha B.V. in the Verified Amended

Complaint which supposedly are “fact” based allegations but which are, in effect, purely conclusory statements or facts which, in large part, have already been contradicted by Complainant itself in Complainant’s *Opposition to Motion to Dismiss* and other submission in this proceeding, or are on their face patently untrue which purport to indicate that Kirsha B.V. is acting as a common carrier:

1. Paragraph 30, where there is a vague reference that Kirsha B.V. acted as a de facto common carrier by transporting cargo via “the fictitious and unregistered entity ‘Logfret Cargo Line.’ “

2. Paragraph 35 where Kirsha B.V. is mentioned but the gravamen of the allegation is that “Mr. Bergwerff had directed employees of Logfret B.V. to enter into transportation arrangements with competitors of the Logfret Group’s companies and affiliates.”

3. Paragraph 38, Kirsha B.V. is mentioned in a paraphrasing of item 1 above in relation to Logfret Cargo Line.

4. Paragraph 43, Kirsha B.V. is again mentioned in a paraphrasing of item 1 above in relation to Logfret Cargo Line.

5. Paragraph 44, 45 are conclusory references in which Kirsha B.V. is referenced in broad terms as a de facto common carrier.

Complainant, while they plead in the Verified Amended Complaint that Kirsha B.V. acted as a common carrier, still do not make specific averments that plausibly place Kirsha B.V. within the subject matter or personal jurisdiction of 46 U.S.C. § 41103(a) since that section can only provide relief when a person is acting (or possibly “holding out”), in this case, as a common carrier. The above cited pleadings appear to state that Kirsha B.V. acted as a common carrier in its own right by somehow issuing the traditional Complainant housebills via Logfret B.V.

employees. Upon review of Respondents' *Opposition to Motion to Amend*, it is not difficult to conclude that this is not a plausible scenario, and, therefore, afoul of the *Twombly* standards.¹ To add further confusion which underscores the lack of plausibility as to Kirsha, B.V., Complainant has also now placed Delmar International (N.Y.) Inc., a regulated person that Complainant did not choose to name as a party to this proceeding, as the common carrier that allegedly did commit the averred common carrier violations pursuant to 46 U.S.C. § 41103(a) in conjunction with "other persons"---i.e., Respondents.

The previously noted allegations and the following are purely conclusory and nonsensical statements in Complainant's *Opposition to Motion to Dismiss* purporting to indicate that Kirsha B.V. acted as a common carrier. In many cases, these facts are controverted by the actual pleadings by Complainant in its Verified Amended Complaint, or by Exhibits provided by Complainant, but in any case, none are pled with any meaningful facts to provide any plausibility that Kirsha B.V. held out and acted as a common carrier as required by *Twombly*. Further, the *Iqbal* Court (*Ashcroft v. Iqbal*, 556 U.S. 662 (2009)) distinguished between allegations which merely establish a possibility and those which make a factual "showing": they need not establish a probability, but must at least be sufficient to allow the court to "draw the reasonable inference that the defendant is liable for the misconduct alleged." *Id.* at 678 (citing *Twombly*, 550 U.S. at 556. Note the following, **which have not been pled**, but have been raised as facts in Complainant's *Opposition to Motion to Dismiss*, but which clearly, first, are not pleadings, and

¹ Note that the plausibility factor is underscored even more when considering that the above noted "common carrier" allegations relating to Kirsha B.V. also included Hans Bergwerff and Linda Sieval as common carriers in the Verified Amended Complaint. In the *Opposition to Motion to Dismiss* the common carrier allegations were dropped as to the two individuals, but arbitrarily retained for Kirsha B.V. There is no explanation provided. However, the only salient difference among the three Respondents other than the fact that two are natural persons and the other is a corporate person is that Kirsha B.V., the corporate person, is one-half owner of Logfret B.V.'s office spaces in the Netherlands, obviously a valuable asset. While there is evidence in the record that Kirsha B.V. is a passive financial company, there are no plausible pleadings or facts in the record that would plausibly establish Kirsha B.V. as a common carrier.

secondly, are statements in search of facts, definitely not meeting the *Twombly*, *Iqbal* standards as will be discussed below:

1. “It is Complainant’s understanding that Kirsha B.V. *did* in fact function as an NVOCC—in practice, if not necessarily in name— and operated in the U.S. trades.” Page 7, Complainant’s *Opposition*.

Comment: This is clearly an unsubstantiated conclusory fact. The only pleadings in this case relating to Kirsha B.V., discussed above, involve the use of the traditional Logfret Cargo Line house bill and which also plead the involvement of Hans Bergwerff and Linda Sieval, now claimed by Complainant not to have been acting as common carriers. Page 9, Complainant’s *Opposition*. This statement is obviously contradictory to No. 2 below in that in this statement Complainant underscores that Kirsah B.V. did not function as an NVOCC “in name.” It appears to Respondents in No. 2 below that “holding itself out” implicitly would require that it be “in name.” By definition, “holding out” would have to mean, in the case of Kirsha B.V., that Kirsha B.V. itself was holding out to act as a common carrier. Here, we have the opposite sense that Kirsha B.V. was not holding out in its own name. There are no fact pled or provided that would indicate on whose behalf it “held out.”

2. “If anything, it is likely indicative of Kirsha B.V.’s noncompliance with the Shipping Act, in general, as it was “holding itself out” to the public as an (unlicensed) NVOCC.” Page 7, Complainant’s *Opposition*.

Comment: Same comment as above. Again note the inconsistency between the allegation that Kirsha B.V. was “holding itself out” to the public but “not necessarily by name.”

3. The following are circumstances in which Complainant has alleged that the FMC has found unlicensed entities to be “holding out” as NVOCCs operating in the U.S. trades, and where Complainant has made the generally false and unsupported statement that “it is

Complainant's understanding that Kirsha B.V. performed all of the above [in this case, below] unlicensed NVOCC activities." Page 8, Complainant's *Opposition*. These are all false statements uttered by Complainant as applicable to Kirsha B.V. but which are contradicted by facts in the proceeding, by other facts posed by Complainant to the contrary, and, in general are clearly falsely alleged that they apply to respondent Kirsha, B.V. In fact, again, none of the following have been pled in Complainant's Verified Amended Complaint and should not be considered in this proceeding for all the noted reasons:

a. Maintaining an Internet website in its own name that advertised the company as providing international relocations services; Page 7, Complainant's *Opposition*.

Comments: There has never been a web site for Kirsha B.V. In fact, it is in the uncontroverted record of this proceeding that Kirsha B.V. is one-half owner of a company which leases offices to Logfret B.V. Respondents *Memorandum in Support of Motion to Dismiss*, page 17. Therefore, this statement is clearly false.

b. Paying third parties for business leads; Page 7, Complainant's *Opposition*.

Comment: this is a false statement as Complainant has nothing on which to base this statement, but an unsupported averment.

c. Accepting shipments from different individual proprietary shippers for transportation in the U.S. trades; Page 7, Complainant's *Opposition*. **Comment:** this is a false conclusory statement and Complainant has nothing on which to base their statement.

d. Having a name that implies the company provides international shipping services. Page 7, and 8 Complainant's *Opposition*. **Comment:** this is a false statement on its face since Kirsha B.V. does not so imply in any language. Therefore , again Complainant has nothing on which to base their statement.

e. Issuing bills of lading with the address of the company; Page 8, Complainant's

Opposition. Comment: this is clearly a false statement. In fact, the only address in the record on the Logfret Cargo Line bills of lading traditionally used by Complainant, and alleged to have been the bill of lading issued by Kirsha, B.V., is for Logistique Holding SAS, the parent of Complainant---i.e., Z.I. du Coudray – 2, rue Copernic- 93605 Aulnay-Sour-Bois cedex- France. (See *Complainant’s Memorandum in Support of Motion to Amend*, Exhibit 6). These were bills of ladings generally issued by Logfret, B.V. by their employees as the record notes.

f) Having house bills of lading issued with the shipper “c/o” the company; Page 8, Complainant’s *Opposition. Comment:* this is a false statement as Complainant has nothing on which to base their statement.

g) Issuing invoices with the name of the company; Page 8, Complainant’s *Opposition. Comment:* this is a false statement as Complainant has nothing on which to base their statement.

h) Collecting payments directly from shippers by wire transfers, checks or online payments; Page 8, Complainant’s *Opposition. Comment:* this is a false statement as Complainant has nothing on which to base their statement.

i) Directly paying licensed carriers, VOCCs or NVOCCs, for the shipment; Page 8, Complainant’s *Opposition. Comment:* this is a false statement as Complainant has nothing on which to base their statement.

j) Arranging and paying inland freight charges for through shipments; and Page 8, Complainant’s *Opposition. Comment:* this is a false statement as Complainant has nothing on which to base their statement.

k) Arranging for marine insurance among others. Page 8, Complainant’s *Opposition. Comment:* this is a false statement as Complainant has nothing on which to base their statement.

All of the above are clearly false statements by Complainant intended to confuse the record of this proceeding and to attempt to establish a common carrier status for Kirsha B.V. which is not successfully nor plausibly accomplished. In fact, as noted, some of these are readily seen as outright falsehoods.

Complainant unabashedly (in view of the fact that they have no facts related to items a-k above) states, “[i]t is Complainant’s understanding that Kirsha B.V. performed all of the above unlicensed NVOCC activities when it was in operation and as such is subject to Commission jurisdiction, but, as noted, **discovery is needed to reveal additional facts confirming the same.**” Discovery is expressly needed by Complainant to obtain information on all of the so-called “unlicensed NVOCC activities” which Complainant has not even pled in this case since they have only now been raised in Complainant’s arguments in its *Opposition to Motion to Dismiss*. Complainant in its Conclusion and Relief Requested in its *Opposition to Motion to Dismiss* curiously requests the Administrative Law Judge “to defer ruling on Respondents’ Motion to Dismiss to permit sufficient discovery to establish certain facts relevant to the issues of jurisdiction.” In *Iqbal* the court addressed the discovery issue succinctly where pleadings have been of the conclusory variety, as they are here, by stating:

“[Rule 8](#) [of the Federal Rules of Civil Procedure] marks a notable and generous departure from the hypertechnical, code-pleading regime of a prior era, **but it does not unlock the doors of discovery for a plaintiff armed with nothing more than conclusions.** Second, only a complaint that states a plausible claim for relief survives a motion to dismiss.” *Iqbal*, at 678-679 (emphasis added).

The court in *Twombly* and *Iqbal* have further held the following on the issue of discovery which is applicable to subject case in the context that the only pleadings related to Kirsha B.V., as noted, have been formulaic conclusory statements:

We have held, however, that the question presented by a motion to dismiss a complaint for insufficient pleadings does not turn on the controls placed upon the

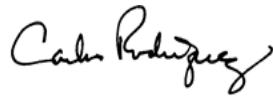
discovery process. *Twombly, supra*, at 559, 127 S.Ct. 1955 (“It is no answer to say that a claim just shy of a plausible entitlement to relief can, if groundless, be weeded out early in the discovery process through careful case management given the common lament that the success of judicial supervision in checking discovery abuse has been on the modest side” (internal quotation marks and citation omitted)).” *Ashcroft v. Iqbal*, 556 U.S. at 684-685.

As noted, Complainant has provided “nothing more than conclusions” and has failed to state any plausible claims as against Kirsha, B.V. This is even more egregious since Complainant has been provided ample opportunity to amend its infirm Complaint, and has still failed to provide plausible pleadings as to subject matter and personal jurisdiction over Respondents. It is, therefore, clear that the pleadings noted above as to Kirsha B. V. do not support a plausible conclusion that Respondent Kirsha B.V. acted or held out as a common carrier and, that, therefore, the Federal Maritime Commission has either subject matter or personal jurisdiction over this Respondent. This Complaint against Kirsha, B.V. should also be dismissed with prejudice from this proceeding.

C. RELIEF REQUESTED

For the foregoing reasons, Respondents hereby move the Commission to dismiss the Complaint as to all Respondents with prejudice and to award Respondents reasonable attorney’s fees pursuant to 46 C.F.R. § 502.254.

Respectfully submitted,



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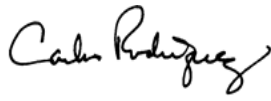
Counsel for Respondents
Kirsha, B.V., Hans Bergwerff, Linda Sieval

CERTIFICATE OF SERVICE

The undersigned hereby certify that on the 20st day of May 2019, a true and complete copy of the foregoing *Motion to Dismiss Complaint*, was served on the following by first class certified mail, postage pre-paid, return receipt requested.

Ashley W. Craig
Venable LLP
600 Massachusetts Avenue, N.W.
Washington, D.C. 20001

Counsel for Complainant

A handwritten signature in cursive script, appearing to read "Carlos Rodriguez", is positioned above a horizontal line.

Date filed: May 20, 2019

Carlos Rodriguez
Counsel for Respondents

Kirsha, B.V.
Hans Bergwerff
Linda Sieval